



Income Tax Department

Ministry of Finance, Government of India

Profits *in lieu* of salary.

18. (1) For the purposes of this Part, "profits in lieu of salary" includes,—

- (a) the amount of any compensation due to, or received by, an assessee from his employer or former employer at or in connection with the—
 - (i) termination of his employment; or
 - (ii) modification of the terms and conditions relating thereto;
- (b) any amount due to, or received, whether in lump sum or otherwise, by any assessee from any person—
 - (i) before his joining any employment with that person; or
 - (ii) after cessation of his employment with that person;
- (c) any payment due to or received by an assessee—
 - (i) from an employer or a former employer; or
 - (ii) from a provident or other fund, to the extent to which it does not consist of contributions by the assessee or interest on such contributions; or
 - (iii) any sum received under a Keyman insurance policy as defined in Schedule II (Note 1), including the sum allocated by way of bonus on such policy.

(2) The payment referred in sub-section (1)(c) shall not include any payment referred to in—

- (a) Schedule II (Table: Sl. No. 3);
- (b) Schedule II (Table: Sl. No. 4);
- (c) Schedule II (Table: Sl. No. 8); and
- (d) Schedule III (Table: Sl. No. 11).

